

Solved by: HASSAN TAIMUR

MIDTERM EXAMINATION
Fall 2008
MGT301- Principles of Marketing (Session - 2)

Question No: 1 (Marks: 1) - Please choose one

If the company's sales are slow down, and profits level off or decline. At which stage the company has reached?

- ▶ Introduction
- ▶ **Decline (correct)**
- ▶ Growth
- ▶ Maturity (profit high sale peak)

Question No: 2 (Marks: 1) - Please choose one

A period of rapid market acceptance and increasing profits refers to which of the following stages of the product life cycle?

- ▶ Decline
- ▶ Maturity
- ▶ Introduction
- ▶ **Growth**

Question No: 3 (Marks: 1) - Please choose one

In which of the following product life cycle stages, sales are zero and the company's investment costs mount?

- ▶ **Product development**
- ▶ Introduction
- ▶ Growth
- ▶ Maturity

Question No: 4 (Marks: 1) - Please choose one

Which one of the following groups is skeptical and adopts innovations only after most of the market has accepted the product?

- ▶ Innovators (help to get product)
- ▶ **Late majority (correct)**
- ▶ Early Adopter (opinion leader to the rest market)
- ▶ Early Majority (typical consumer)

Question No: 5 (Marks: 1) - Please choose one

A review of the sales, costs and profit projections for a new product to find out whether they satisfy the company's objectives refers to which one of the following concepts?

- ▶ Business feasibility
- ▶ Feasibility study
- ▶ **Business analysis (correct)**
- ▶ Product acceptance

Question No: 6 (Marks: 1) - Please choose one

After concept testing, a firm would engage in which stage for developing and marketing a new product?

- ▶ **Marketing strategy development (correct)**
- ▶ Business analysis
- ▶ Product development (After analysis Marketing and business strategy)
- ▶ Test marketing

Question No: 7 (Marks: 1) - Please choose one

Which one of the following categories refers to a group of products that are closely related because they function in a similar manner, are sold to the same customer groups, are marketed through the same type of outlets, or fall within given price ranges?

- ▶ **Product line (correct)**
- ▶ Line extension
- ▶ Private brand
- ▶ Product bandwidth

Question No: 8 (Marks: 1) - Please choose one

Marketers need to position their brands clearly in target customers' minds. The strongest brands go beyond attributes or benefit positioning. On which of the following basis the products are positioned?

- ▶ **Desirable benefit**
- ▶ Good packaging
- ▶ Strong beliefs and values
- ▶ Customer image

Question No: 9 (Marks: 1) - Please choose one

Which one of the following attribute may grab attention and produce pleasing aesthetics, but it does not necessarily make the product perform better?

- ▶ Design (contribute a product to perform better)
- ▶ **Style (correct)**
- ▶ Variable
- ▶ Packaging

Question No: 10 (Marks: 1) - Please choose one

You have an upset stomach. Your spouse rushes to the corner convenience store for a medicine. This product falls under which of the following categories?

- ▶ Unsought
- ▶ **Convenience (correct)**
- ▶ Shopping
- ▶ Specialty

Question No: 11 (Marks: 1) - Please choose one

Product planners need to think about products and services on three levels. Each level adds more customer value. Which one of the following is the most basic level that addresses the question, “What is the buyer really buying?”

- ▶ Actual product (buyer need)
- ▶ Augmented product (extra qualities like warranty for any product)
- ▶ **Core benefit = (core product) (correct)**
- ▶ Co-branding

Question No: 12 (Marks: 1) - Please choose one

Mass marketers, such as Target and Venture Stores, ignore market segment differences and target the whole market with one offer. What is their approach to segmenting?

- ▶ **Undifferentiated marketing (correct)**
- ▶ Differentiated marketing (user to user different products)
- ▶ Target marketing (segmentation= e.g chose 5 out of 10)
- ▶ Intelligent marketing

Question No: 13 (Marks: 1) - Please choose one

A marketer has brought same products in the market for all segments without considering the needs and wants of the customers. Which one of the following strategy is being practiced by the marketer?

- ▶ Undifferentiated marketing strategy (without segmentation e.g mass marketing)
- ▶ Differentiated marketing strategy (different product for different segmentation)
- ▶ **Concentrated marketing strategy (correct)**
- ▶ Custom marketing strategy (customer image)

Question No: 14 (Marks: 1) - Please choose one

Demographic segmentation divides the market into groups based on which of the following variables?

- ▶ Size, location, industry, customer
- ▶ Size, company, industry, technology
- ▶ **Location, size, occupation, race (correct)**
- ▶ Customer, technology, company, industry

Question No: 15 (Marks: 1) - Please choose one

Income segmentation is used to target which of the following groups?

- ▶ Affluent
- ▶ Middle class
- ▶ **Lower income class (correct)**
- ▶ All of the given options

Question No: 16 (Marks: 1) - Please choose one

When a company identifies the parts of the market it can serve best and most profitably. Which one of the following factor is in the practice of a company?

- ▶ **Concentrated marketing (correct) (proved with examples)**
- ▶ Mass marketing
- ▶ Targeted marketing
- ▶ Market segmentation

Question No: 17 (Marks: 1) - Please choose one

Which of the following demands that business markets have more?

- ▶ **Derived demands (correct)**
- ▶ Steady demands
- ▶ Fluctuating
- ▶ Competitive

Question No: 18 (Marks: 1) - Please choose one

The mental act, condition or habit of placing trust or confidence in another shows which of the following options?

- ▶ Motive
- ▶ **Belief (correct)**
- ▶ Behavior
- ▶ Attitude

Question No: 19 (Marks: 1) - Please choose one

People are expected to perform activities according to the persons around them. These activities reflect which one of the following concept?

- ▶ Motive
- ▶ Role
- ▶ Lifestyle
- ▶ **Tradition (correct)**

Question No: 20 (Marks: 1) - Please choose one

How do consumers respond to various marketing efforts the company might use? What is a starting point of a buyer's behavior?

- ▶ Belief
- ▶ Subculture
- ▶ Post purchase feeling
- ▶ **Stimulus-response Model (correct)**

Question No: 21 (Marks: 1) - Please choose one

A person on the University Book Shop's survey asks respondents to tell the shop, in their own words, what they like least about textbook shopping. What is a type of this question?

- ▶ **An open-ended (correct)**
- ▶ A dichotomous
- ▶ A multiple choice (close ended)
- ▶ A scale

Question No: 22 (Marks: 1) - Please choose one

General Motors need to assess the company's image relative to a new competitor. The time schedule is flexible, the research budget is very limited and a low response rate will not be a major problem. Which one of the following survey would be used by General Motors?

- ▶ **Mail (low cost and low /late response) (correct)**
- ▶ **Telephone (quickly response/ cost effected)**
- ▶ Personal interview
- ▶ Population

Question No: 23 (Marks: 1) - Please choose one

If Proctor and Gamble need to know what percentage of customers examines product labels before making a product selection in the supermarket? By which method this study would be accomplished?

- ▶ Focus groups (6 to 10 selectd individual)
- ▶ Mail surveys (cost effected and low rply rate)
- ▶ Personal interviews (include focus group)
- ▶ **Observations (by seeing behavior of people) (correct)**

Question No: 24 (Marks: 1) - Please choose one

The objective of which of the following research is to gather preliminary information that will help define the problem and suggest hypotheses?

- ▶ Descriptive (survey research)
- ▶ **Exploratory (for gether primery information include observational research) (correct)**
- ▶ Causal (experiment)
- ▶ Corrective

Question No: 25 (Marks: 1) - Please choose one

Harvard University is using the **systematic design, collection, analysis, and reporting of data** relevant to marketing its programs to minority students. What do we call this?

- ▶ Promotion
- ▶ Self-study
- ▶ **Marketing research (systematic design, collection, analysis, and reporting of data) (correct)**
- ▶ Cost-benefit analysis

Question No: 26 (Marks: 1) - Please choose one

Marketing information from which of the following databases can be accessed more quickly and cheaply?

- ▶ External
- ▶ Internal & External
- ▶ **Internal (primry data= all ready have) (correct)**
- ▶ Representatives

Question No: 27 (Marks: 1) - Please choose one

The marketing information system is not limited to use by the company. It may also provide information to which of the following?

- ▶ The government
- ▶ **External partners (Managing / Marketin Info Systm) (correct)**
- ▶ Various publics (stake holder of company)
- ▶ Competitors

Question No: 28 (Marks: 1) - Please choose one

Beliefs and values that are passed on from parents to children and are reinforced by schools, churches, business and government refer to which of the following beliefs and values?

- ▶ Crucial
- ▶ **Core (correct)**
- ▶ Secondary
- ▶ Primary

Question No: 29 (Marks: 1) - Please choose one

Which of the following forces shows the marketing macro environment?

- ▶ Demographic, economic, natural, technological, political, and social
- ▶ Demographic, natural, economic, political, social, and cultural
- ▶ **Demographic, economic, natural, technological, political, and cultural (correct)**
- ▶ Demographic, economic, natural, social, political, and legal

Question No: 30 (Marks: 1) - Please choose one

Finance, research and development, purchasing and manufacturing are all activities of which element of the microenvironment?

- ▶ The suppliers (inventory supply)
- ▶ The competitors
- ▶ **The companies (correct)**
- ▶ The publics (directly affect the behavior of company)

Question No: 31 (Marks: 1) - Please choose one

Which one of the following is **NOT** a content of marketing plan?

- ▶ Objectives
- ▶ Control
- ▶ Budget
- ▶ **Production (correct)**

Question No: 32 (Marks: 1) - Please choose one

Some banks have increased their market share by offering accounts especially for children in another city. This example illustrates which of the following growth strategies?

- ▶ Market penetration
- ▶ **Market development (product development) (correct)**
- ▶ Horizontal diversification
- ▶ Conglomerate diversification

Question No: 33 (Marks: 1) - Please choose one

Three main strategies for intensive growth are market penetration, product development and the other one?

- ▶ Product improvement(market same product new)
- ▶ Market saturation
- ▶ Market growth
- ▶ **Market development (correct) (market new and product same)**

Question No: 34 (Marks: 1) - Please choose one

“Planning that involves developing a strategy to meet competition and ensure long-term survival and growth” represents which one of the following planning type?

- ▶ Long-range planning
- ▶ Short-range planning
- ▶ Annual planning
- ▶ **Strategic planning (correct)**

Question No: 35 (Marks: 1) - Please choose one

In case of an intense competition there are a number of manufacturers and buyers who have more options for product switching. Which one of the following forces represents it?

- ▶ Threat of new entrants
- ▶ **Bargaining power of buyers(lesson no.5) (correct)**
- ▶ Bargaining power of suppliers
- ▶ Rivalry among competing firms

Question No: 36 (Marks: 1) - Please choose one

Which one of the following concepts is a useful philosophy in a situation when the product's cost is too high and marketers look for ways to bring it down?

- ▶ Selling concept (emphasize just on sale)
- ▶ Product concept (emphasize on product)
- ▶ **Production concept (concern about cost) (correct)**
- ▶ Marketing concept (customer oriented image)

Question No: 37 (Marks: 1) - Please choose one

When a church targets different demographic groups to increase attendance, it is an example of which of the following options?

- ▶ Mindless marketing
- ▶ Ethics in marketing
- ▶ Societal marketing
- ▶ **Not-for-profit marketing (gov. sector use it) (correct)**

Question No: 38 (Marks: 1) - Please choose one

If a food company gives 5 percent discount in particular burger to increase sales, it is altering which one of the following elements of the marketing mix?

- ▶ **Promotion (correct)**
- ▶ Price
- ▶ Product
- ▶ Place

Question No: 39 (Marks: 1) - Please choose one

An automobile manufacturing company places steel beams in the doors of its cars for which of the following purposes?

- ▶ Increase short run customer satisfaction
- ▶ Increase long run customer satisfaction
- ▶ Add style to its cars
- ▶ **Reduce the possibility of accidents**

Question No: 40 (Marks: 1) - Please choose one

Identify the name for the recent technology advances including wide use of the Internet?

- ▶ An old economy
- ▶ Transformation
- ▶ A new world.
- ▶ **The digital age (correct)**

Question No: 41 (Marks: 10)

A marketer plays an important role in increasing the sales of an organization. What guiding principles did he follow to become a successful marketer and which skills he needed?

ANSWER:

- He should satisfy the customers' need with quality product, competitive price and satisfaction on the company's brand.
- He should meet the market demand by supplying sufficient quantity of his products as, when and where demanded.
- He should use the modern techniques of promotion of his product or service to convince the mind of customers.
- He should provide good after sale services to further satisfy the customers. Feedback from the market and take remedial measures to improve the quality of product, packaging and labeling should also be improved.
- He will have good market survey to ensure the improvement of his product and competitive price.

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MC090409714 : Amjad Sajjad

Quiz Start Time: 11:44 PM

Time Left

Question # 2 of 25 (Start time: 11:45:09 PM)

Total Marks: 1

A local firm wants to adopt the marketing concept. To be consistent with this move, it should adopt which of the following philosophies?

Select correct option:

☐

Making money is our business

☐

The customer is always right (correct)

If the competitor's price cut harm the company's sales and profit then what should your company do:

Select correct option:



Hold the current price



Increase the price



Decrease the price(correct)



Either increase or decrease the price

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MC090409714 : Amjad Sajjad

Quiz Start Time: 11:44 PM

Time Left

Question # 8 of 25 (Start time: 11:48:58 PM)

Total Marks: 1

Mr. ABC examined his firm's recently completed market attractiveness-business position model; he finds that the firm's biscuit unit is low on both dimensions. Which one of the following strategies would this placement dictate?

Select correct option:



Invest(question mark-required high investment)

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MC090409714 : Amjad Sajjad

Quiz Start Time: 11:44 PM

Time Left

Question # 13 of 25 (Start time: 11:51:51 PM)

Total Marks: 1

Which of the following is a synonym name of Echo boomers?

Select correct option:

☐

Baby boomlets (correct)

☒

Baby boomers

☐

Generation-X

☐

Generation-Y

[Click here to Save Answer & Move to Next Question](#)

/wEPDwUKMTY2M

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MC090409714 : Amjad Sajjad

Quiz Start Time: 11:44 PM

Time Left

Question # 19 of 25 (Start time: 11:56:55 PM)

Total Marks: 1

One of the following is NOT a key function that intermediaries play in completing transactions.

Select correct option:

☐

Promotion

☒

Negotiation

☐

Financing

☐

Pricing (correct)

Click here to Save Answer & Move to Next Question

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MC090409714 : Amjad Sajjad